SNDK - SanDisk Corp

Full investment research | Model assumptions and source evidence

Current analysis: 6 October 2026 | Framework 8.0 | Active horizon Q4 2027

Q4 2027 model ceiling: USD 4,990.34 per share, previously USD 4,999.38. The -9.05 change (-0.18%) reflects HBF timing and early production costs. Valuation remains **9x forward-four-quarter non-GAAP operating profit**, covering Q4 2027 through Q3 2028, divided by the existing 136M share assumption.

Protected Excel Base 95; artifact analytical Base 87 - both unchanged. The share path and aggressive NAND pricing case remain conditional model assumptions. This engineering review is not a new earnings release.

HBF: qualify the workload before counting the profit

The September 6 Hot Chips recap separates HBF bandwidth from usable system performance. A wide interface does not eliminate NAND write endurance, access granularity, cooling or controller work. That distinction matters because our saved model already recognized HBF sales from Q3 2027 at 85% product gross margin.

Sandisk's technology roadmap, page 20, places first HBF inference product samples in 2027. Samples are a qualification milestone; they do not establish accepted production units, customer pricing or an 85% margin. This makes the existing 2027 revenue ramp an analytical assumption.

A primary systems study, September 14 revision finds that dropping HBF into a write-heavy transient-KV offload design can degrade modeled service performance and endurance. A separate trace-driven simulation, October 5 revision shows that buffering and cache-aware placement can materially improve the result. Its modeled lifetime improvement from 1.21 to 14.82 years applies to that simulated configuration; it is not a measurement of a shipping Sandisk part. Together the studies support software and customer qualification work, while countering a categorical failure thesis.

One probability-weighted operating bridge

Assign a **25% subjective probability** to one combined execution state: the existing HBF shipment schedule moves one quarter later and its first four selling quarters carry **80% gross margin**, versus the existing 85%. Those four quarters are Q4 2027 through Q3 2028. Gross margin returns to 85% thereafter; the delayed volume schedule retains its one-quarter lag without an invented catch-up. The remaining 75% retains the previous operating path. This is a bounded analyst assumption, not a reported delay or observed failure frequency.

Expected HBF revenue equals 75% of the reference quarter plus 25% of the preceding reference quarter. Gross profit is weighted in dollars before deriving the effective margin. The 5-point conditional margin reduction represents additional early product/support cost; it is not another price haircut. Existing launch/support opex dollars remain in place. Other NAND revenue, production cost, prices and bit growth do not change.

The exact active F4Q operating-profit reduction is **USD 136.705M**, from 75,546.253M to 75,409.548M. Multiplying by 9 and dividing by 136M shares produces the USD 9.05 ceiling reduction. There is no second probability multiplier on the target or Base score.

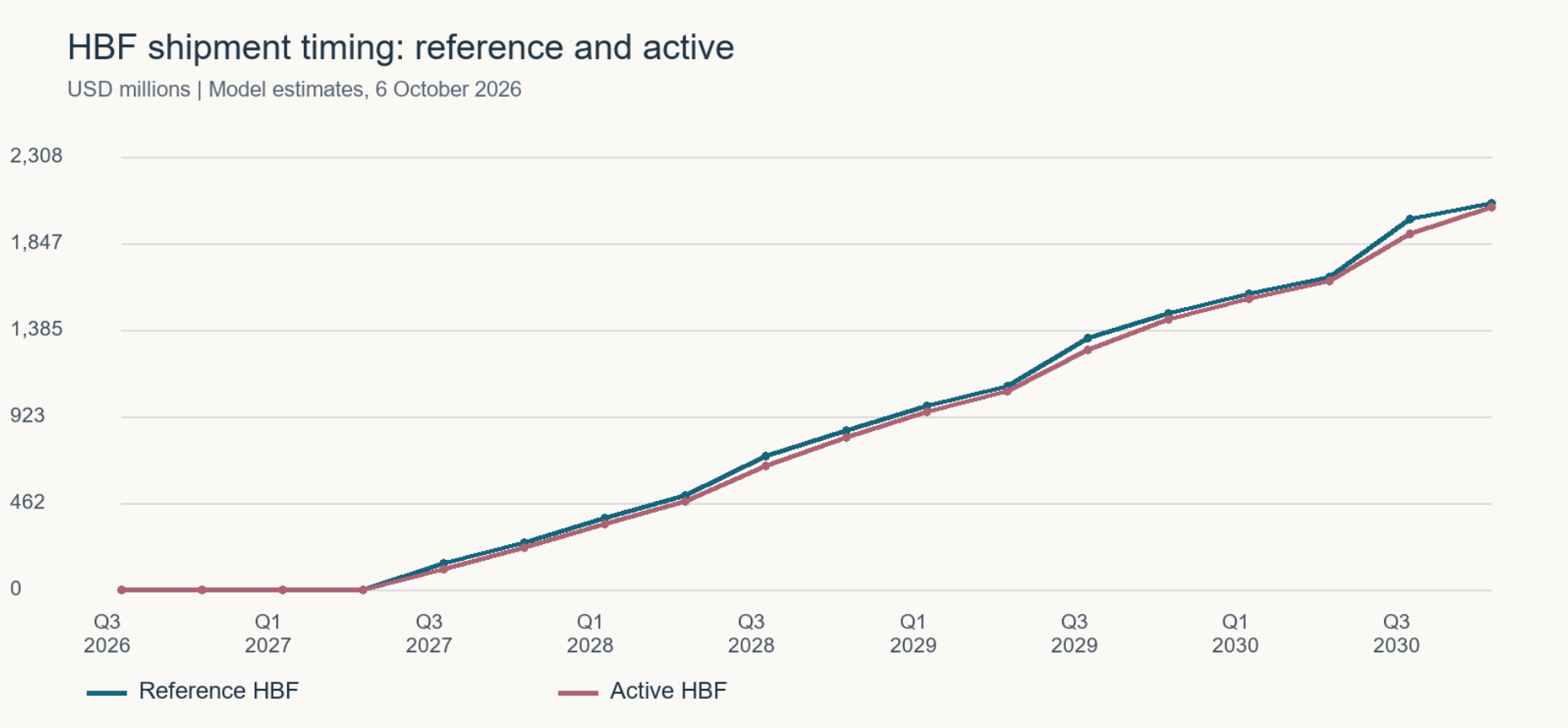
This bridge captures qualification, timing and early cost as one correlated state. It does not add an HBF TAM, repeat existing SSD/KV demand, reduce broad NAND demand or transfer D-matrix's DRAM retention measurements to NAND. Existing model uncertainty remains large; the small total valuation effect reflects HBF's modest share of this particular profit build.

Joint-state probability	Q4 2027 ceiling USD	Interpretation
0%	4,999.38	Previous reference
25%	4,990.34	Active probability-weighted build
100%	4,963.20	Conditional stress, not a second target

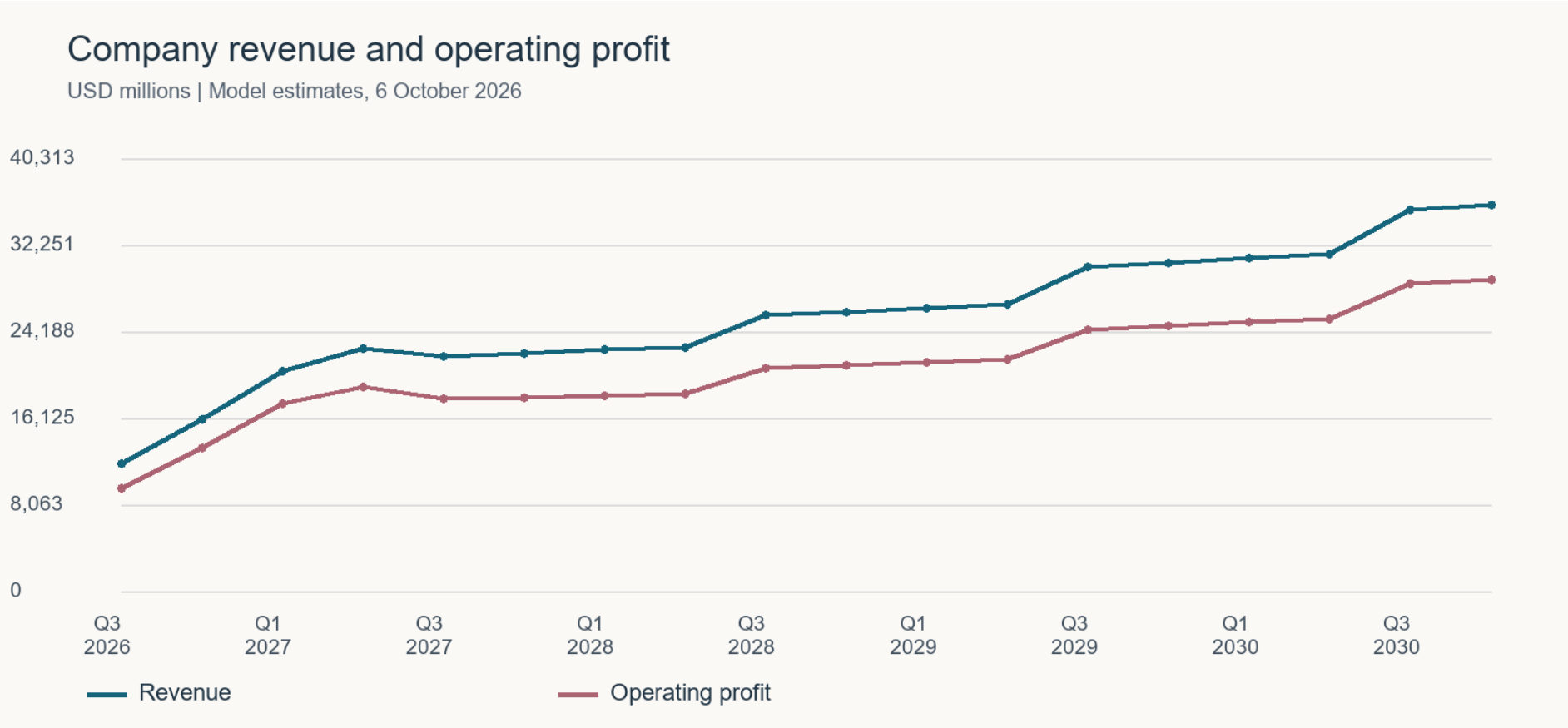
Qualification and cost gates

Customer samples progressing to accepted production, read/write workload mix, sustainable bandwidth, write budgeting, thermal operation, controller/software integration, good-unit yields, pricing and actual support cost are the next evidence gates. An optimized research prototype does not establish commercial economics. Revisit the same joint state when these inputs become measurable.

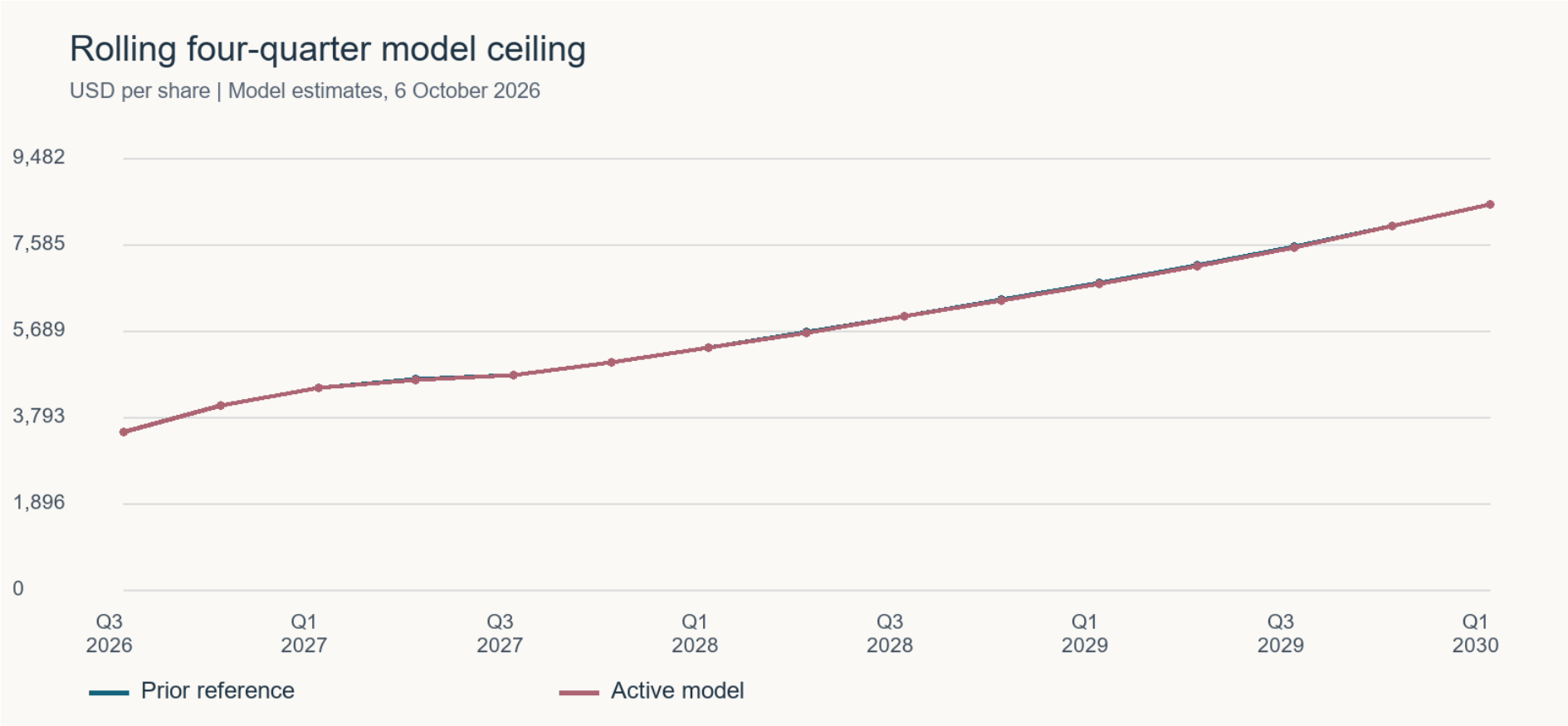
Current operating path



HBF shipment timing: reference and active - model estimates, 6 October 2026



Company revenue and operating profit - model estimates, 6 October 2026

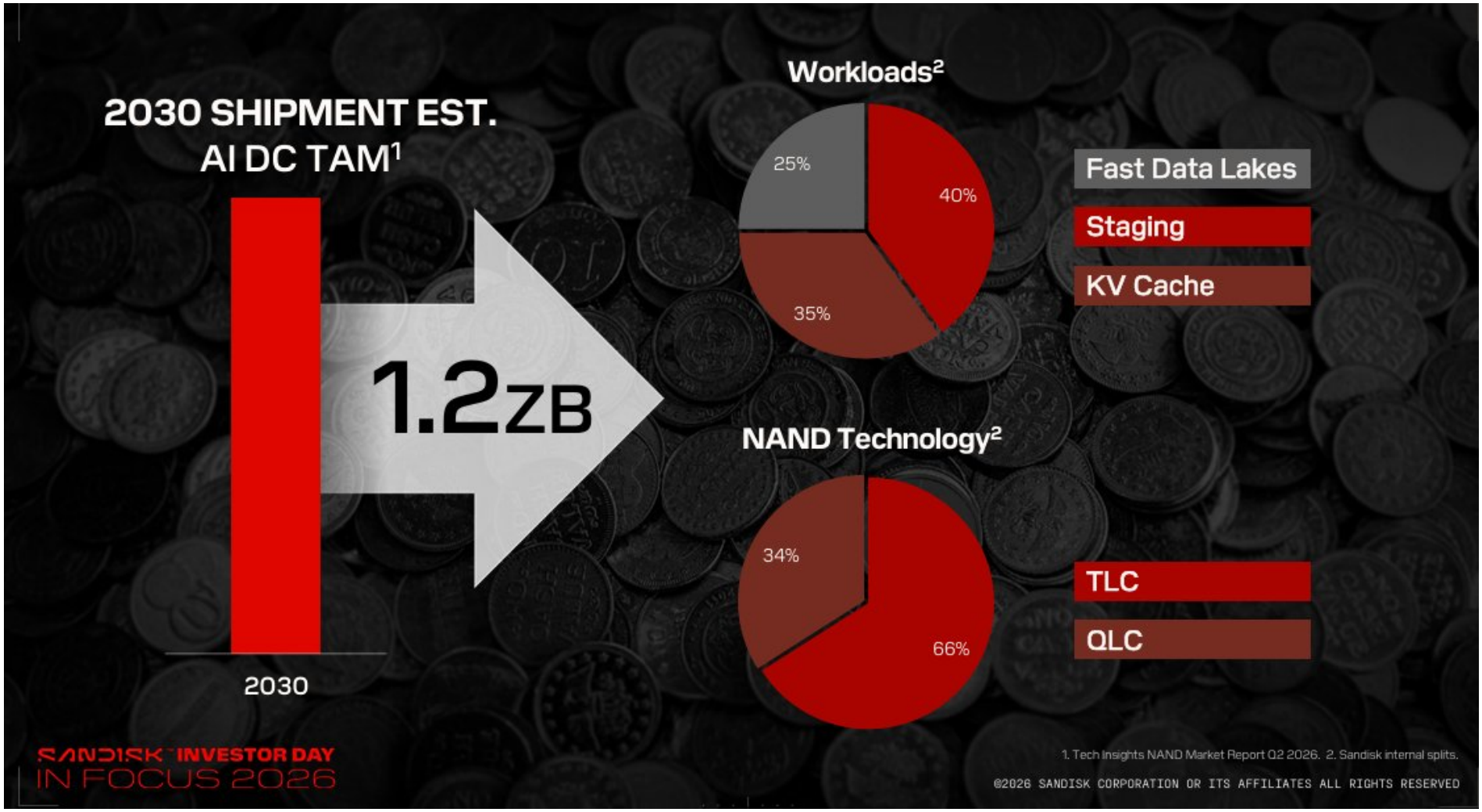


Rolling four-quarter model ceiling - model estimates, 6 October 2026

NAND demand and overlap treatment

Persistent-agent storage is real demand context; the 500-600EB add-on is unproven

The Sandisk slide gives a 1.2ZB AI-datacenter NAND shipment estimate for 2030: 1,200EB of annual shipments, not a deployed storage stock. Its workload split is 40% staging, 35% KV cache and 25% fast data lakes: 480/420/300EB. TLC/QLC is a separate technology split of 66%/34%; those are not additional end markets.



Sandisk Investor Day 2026 slide supplied by the user: 1.2ZB annual AI-datacenter shipments in 2030; workload and NAND-technology splits describe the same pool.

The August 13 issuer deck already discusses agentic AI, persistent KV cache and context. The claim that persistent agents were wholly excluded therefore does not support automatically adding Zephyr's speculative 500-600EB. Its annual-shipment versus installed-stock scope, retention period and overlap are unspecified. If it were fully incremental annual shipments, arithmetic would imply 1.7-1.8ZB, a 42-50% uplift; that is a conditional scope illustration, not an adopted TAM.

Transmission into SanDisk requires bits, capture and realized price

Agent-hours, checkpoints, state retention, replication and retrieval can increase capacity and writes. Deduplication, compression, caching tiers and retention limits can reduce physical NAND needs. HBM/DRAM working state, SSD persistence and archival HDD bytes are separate wallets. Convert incremental usable storage stock into annual NAND shipments using new deployment, replacements, endurance, utilization and overhead; then apply qualified supplier share and product ASP. Do not translate a speculative EB figure straight into profit.

Analytical Base: 87 → 87; protected Excel Base: 95 → 95. Sandisk's TAM score is already 10/10 and includes persistent/KV demand. The persistent-storage evidence does not justify going above the score maximum or adding the same volume again. The conditional 155M-to-111M share path remains the existing assumption; it is not strengthened by a storage-TAM slide. Keep 9x OP and the existing +23%/+20%/+15% NAND benchmark path. No new ASP hike, allocation or buyback is inferred.

Upgrade gates: customer storage build-outs with a defined period, eSSD qualification/capture, contracted versus floating bit mix, realized pricing, fab bit output/yield and incremental margin. The model could improve through higher shipped bits or firmer margins if those are quantified. Persistent-agent demand alone is not evidence for an additional shipment increment.

1. Thesis, products and competitive position

HELD. BOTTLENECK: NAND has become a capacity and persistence tier for AI inference. Long-term customer commitments improve visibility and support investment, while technology transitions and Kioxia joint manufacturing constrain the speed of supply response. Competition prevents permanent monopoly treatment.

NAND as an inference memory tier

The original thesis links NAND demand to the amount of data retained and retrieved during AI inference, including KV-cache offload, alongside conventional enterprise, edge and consumer storage. NAND, DRAM and HBM serve different latency, bandwidth, endurance and cost requirements. More inference activity can increase flash demand without making flash a universal substitute for HBM.

The five model vectors separate contracted and uncontracted data-center sales, Edge, Consumer and HBF. The data-center contract split is an analytical allocation: the disclosed New Business Model arrangements also cover Edge. It must not be read as a reported segment split or as proof that all Edge bits are sold at spot prices. Physical bit growth, product/node mix and realized ASP determine sales; a revenue growth target alone does not identify those components.

Contract quality and supply economics

The disclosed minimum contracted revenue and financial guarantees support visibility, but the detailed fixed-volume schedules, TLC/QLC specifications and uniform pricing collars in the original IR relay are not independently verified. Apply the specific disclosures and qualifications in the earnings section below. Do not infer identical terms across customers or across Samsung, SK hynix and Kioxia. Long duration can improve planning while leaving enforcement, mix, incremental volumes and technology execution material.

Kioxia and SanDisk share the Yokkaichi/Kitakami manufacturing ecosystem and BiCS technology development. Joint investment and wafer economics are therefore meaningful cross-checks, while each company's product mix, contracts, currency and share count remain separate. Process migration can increase bits per wafer; wafer starts, yield and bit output are not interchangeable measures.

HBF is modeled as an additional inference-oriented flash tier. Its timing and scale require shipment and qualification evidence; it is not a second entry for existing SSD sales or a claim on the entire HBM market. The model's long-term volume calibration and pricing persistence remain conditional.

Research provenance: the product and competitive analysis in this section synthesizes the supplied original research. Dated market-share, process and channel claims retain their original evidence status; this integration is not a new independent verification of those claims. Current earnings and model assumptions are set out below.

2. Earnings, guidance and operating assumptions

Earnings and guidance anchor

Fiscal Q4 FY2026 ended July 3 and is mapped to calendar Q2 2026. Revenue was $8,965M: Datacenter $2,977M, Edge $5,432M and Consumer $556M. The company reports non-GAAP operating income of $7,104M and opex of $484M, implying $7,588M gross profit. [SNDK-1]

Fiscal Q1 FY2027, mapped to calendar Q3 2026, guidance remains $10.3-10.8B revenue, 83-85% gross margin and $520-540M opex, with approximately 155M diluted shares. The active pricing case produces **$11,867.78M revenue, 86.0% GM and $595.76M opex**. It is above that guidance and is an analyst extrapolation from the subsequently supplied pricing forecast, not revised company guidance.

Forward growth and margin model

Active NAND pricing and source treatment

The active NAND benchmark is **calendar Q3 2026 +23%, Q4 2026 +20% and Q1 2027 +15% sequentially**. Q3/Q4 retain the upper bounds of the owner-supplied TrendForce ranges, ranked Tier 1 alongside Serenity. The added Q1 forecast comes from the owner-supplied Jeff Pu/Jukan summary citing TrendForce. The owner authorized this combined case on September 21. The quoted analyst path was +21%/+17%/+15%; the active case retains the owner's higher 2026 selections. [TF-1, JF-1]

The source's current ranges are Q3 +18-23% and Q4 +15-20%. The original updated table was not independently retrieved. The selected rates are a user-authorized modeling input; the translation into this company's realized prices is analytical. Full benchmark transmission is assumed for modeled NAND product sales, including sales governed by customer agreements. That does not establish that every contract permits immediate repricing. The source rank does not convert undisclosed contract terms into verified facts.

With Q2 2026 indexed to 1.000, active calendar price indexes are **1.230 in Q3, 1.476 in Q4 and 1.6974 in Q1 2027**. The Q1 level is 69.74% above Q2 2026. The +15% is applied once in Q1; it does not recur every quarter. Later forecasts retain their existing operating trajectory at this higher benchmark level. Persistence through 2030 is a modeling assumption, not a forecast supplied by TrendForce or the quoted analysts.

Product production-cost schedules are retained at the existing shipment assumptions. Gross profit equals revised product revenue less those modeled costs; product gross margin is derived. The existing quarterly opex percentages apply to the reference revenue build. For the HBF timing state, the original HBF launch/support opex dollars remain in place; the model does not save those expenses merely because HBF shipments slip. Incremental selling-price gains therefore increase gross margin while also increasing dollar opex. This assumes no additional manufacturing-cost inflation or new cost savings from the pricing update. Multiples, share schedules and portfolio Base scores are retained.

Revenue, volume and subsequent pricing

Revenue for each established product vector equals its Q2 anchor revenue times its bit index times its ASP index. Anchor revenues are $1,339.7M for the modeled NBM datacenter portion, $1,637.3M for floating datacenter, $5,432M for Edge and $556M for Consumer. The two datacenter amounts are an analytical split of the disclosed $2,977M total.

The four established NAND vectors each use ASP indexes of 1.230 in Q3 2026, 1.476 in Q4 and 1.6974 in Q1 2027. Q1 growth is exactly 15%, replacing the previous vector-specific increases of approximately 2.7-4.1%. From Q2 2027 onward, each vector retains its previously modeled sequential price changes. This avoids adding 15% on top of a quarter that already contained price growth. HBF retains its separate ASP; the expected ramp incorporates the joint timing/cost state described above. Uniform benchmark transmission across the four established NAND vectors remains an explicit contract-realization assumption.

The existing physical-volume schedule is retained. Its long-term calibration originated from an 18% annual revenue-growth assumption within management's mid-to-high-teens Investor Day framework. The resulting volume calibration factors are fixed for this price update. They do not increase automatically when the pricing input rises, and they do not reduce volume to force revenue back to an old annual target. The 18% framework remains historical calibration context rather than an active revenue cap. [SNDK-3]

Management's approximate 80% gross margin, 75% operating margin and 5% opex framework remains a separate long-term reference. The active pricing case can exceed those margins and is not represented as management's updated financial outlook.

Contract interpretation and confidence

NBMs cover both Datacenter and Edge customers. Pricing contains fixed and variable terms, with guardrails on the variable part; the agreements provide minimum revenue and financial guarantees. Company-wide coverage of more than half of FY2027 bits and roughly two-thirds of FY2028 bits cannot be assigned exclusively to the Datacenter vector. [SNDK-2]

The two Datacenter rows are analytical contract/floating proxies, calibrated at a 45%/55% split of the reported Datacenter total. Edge includes NBM and floating sales; its single ASP and GM path are blended estimates. Product-level contract coverage, price floors and scheduled bits are not disclosed. The exact forecast indices therefore remain LOW confidence, even though the total next-quarter guide is HIGH-quality evidence. Treat supplier-specific contract terms separately when reviewing Samsung and SK hynix.

Unit economics and calibration limits

Product gross margin = 1 - modeled production cost / revised product revenue. For each established NAND vector, production cost equals the retained cost per bit-index unit times the retained bit index. Cost per index unit is reconstructed from the preceding model's product revenue and product GM. These are analytical costs, not disclosed product cost accounting. Section 4 shows all current product revenues, derived gross margins, quarterly GP, opex and OP.

HBF retains its $520M modeling anchor, reference volume schedule and ASP index of 1. The active build weights the reference at 75% and the one-quarter delay/80% initial-margin state at 25%; timing and economics remain LOW confidence. The current NAND benchmark is not applied a second time to HBF. HBF was already included in the retained volume calibration, so it is not added again as incremental corporate growth.

Shares, capital returns and valuation

The sanctioned multiple remains 9x forward four-quarter non-GAAP operating profit. Period-specific diluted shares run from 155M to 111M through the operating horizon; Q1 2028 uses 133M. This is a conditional capital-return scenario, not a result implied by the current authorization alone. The remaining buyback authorization is $15.5B; Investor Day states a policy of returning all excess cash after investment. Future authorizations, repurchase prices and stock compensation determine actual shares. [SNDK-1, SNDK-3]

As a mechanical sensitivity, replacing 133M with 155M shares reduces the Q1 2028 ceiling by 14.19%, holding operating profit unchanged. No hypothetical dilution or new authorization is represented as a reported fact.

3. Analytical score

The category arithmetic gives **52/60 = 87/100** after the existing -3-point risk deduction. The portfolio Base remains **95/100**. Risk-class detail appears in section 7.

Category	Points	Maximum	Basis
Core thesis	19	20	NAND oligopoly with technology/JV control and customer-backed commitments; includes prepayment support within the category.
Cycle stage	10	10	Allocation and inference demand support the active ramp.
TAM expansion	10	10	Persistent KV cache, inference memory tiers and connected devices expand NAND use.
Catalysts	5	5	BiCS transitions, customer contracts and forthcoming earnings/technology milestones.
Macro	10	10	AI infrastructure demand supports constrained bit supply.
Alpha	1	5	Widely followed company; edge is careful reconciliation of disclosures.
Risks	-3	0	Three classes: industry supply/pricing response; technology/JV/HBF execution; contract concentration and enforcement.

4. Product economics and quarterly operating model

Forecasts distinguish reported anchors from guidance and analyst assumptions. Where the model uses segment OP or an adjusted profit proxy rather than product GP less opex, the stated basis applies; do not treat those proxies as a newly disclosed GAAP decomposition.

Vector evidence

Vector	Source / derivation	Confidence
Datacenter NBM proxy	Uploaded model assumptions, calibrated to sources and qualified in the operating assumptions	LOW forecast; actual anchors HIGH
Datacenter floating proxy	Uploaded model assumptions, calibrated to sources and qualified in the operating assumptions	LOW forecast; actual anchors HIGH
Edge mixed-contract	Uploaded model assumptions, calibrated to sources and qualified in the operating assumptions	LOW forecast; actual anchors HIGH
Consumer	Uploaded model assumptions, calibrated to sources and qualified in the operating assumptions	LOW forecast; actual anchors HIGH
HBF	Analyst $520M scaling anchor, not reported HBF sales; workload and roadmap evidence informs the weighted ramp	LOW timing, customer capture and economics

Active ASP indexes

Q2 2026 = 1.000 for each vector. HBF ASP remains 1.000 throughout.

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer
Q3 2026	1.230000	1.230000	1.230000	1.230000
Q4 2026	1.476000	1.476000	1.476000	1.476000
Q1 2027	1.697400	1.697400	1.697400	1.697400
Q2 2027	1.712421	1.710871	1.711785	1.712033
Q3 2027	1.712421	1.697400	1.697400	1.682767
Q4 2027	1.697400	1.643514	1.654246	1.638869
Q1 2028	1.682379	1.589629	1.596707	1.594971
Q2 2028	1.667358	1.549214	1.553553	1.536440
Q3 2028	1.667358	1.508800	1.510398	1.492541
Q4 2028	1.652336	1.481857	1.481629	1.463276
Q1 2029	1.652336	1.468386	1.467244	1.448643
Q2 2029	1.652336	1.454914	1.452859	1.434010

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer
Q3 2029	1.652336	1.454914	1.452859	1.419378
Q4 2029	1.637315	1.441443	1.438475	1.419378
Q1 2030	1.637315	1.441443	1.438475	1.404745
Q2 2030	1.637315	1.441443	1.438475	1.404745
Q3 2030	1.637315	1.427971	1.424090	1.390112
Q4 2030	1.637315	1.427971	1.424090	1.390112

Active bit indexes

These are modeled shipment indexes, not disclosed contracted quantities. HBF shows the probability-weighted shipment index; the four other NAND volume paths are retained.

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF
Q3 2026	1.250000	1.150000	1.020000	0.990000	0.000000
Q4 2026	1.600000	1.380000	1.080000	0.970000	0.000000
Q1 2027	2.020000	1.620000	1.140000	0.950000	0.000000
Q2 2027	2.420000	1.820000	1.190000	0.930000	0.000000
Q3 2027	2.537759	1.763832	1.115894	0.818922	0.202481
Q4 2027	2.790652	1.796483	1.116261	0.776150	0.427226
Q1 2028	3.044194	1.835091	1.131926	0.746042	0.666579
Q2 2028	3.261168	1.849116	1.143090	0.714431	0.907160
Q3 2028	3.908120	2.090390	1.281500	0.754358	1.264119
Q4 2028	4.139141	2.095990	1.285776	0.713341	1.562752
Q1 2029	4.346385	2.096190	1.283381	0.675914	1.819029
Q2 2029	4.520385	2.085049	1.284390	0.642195	2.034360
Q3 2029	5.251614	2.314271	1.424166	0.667578	2.457238

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF
Q4 2029	5.476496	2.317639	1.424919	0.626621	2.769828
Q1 2030	5.673312	2.312582	1.422487	0.590623	2.985395
Q2 2030	5.834670	2.301453	1.418149	0.559156	3.159800
Q3 2030	6.730544	2.579158	1.598725	0.591793	3.648798
Q4 2030	6.893269	2.567743	1.602685	0.560078	3.922241

Product revenue build

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF	Total
Q3 2026	2,059.79	2,315.96	6,814.99	677.04	0.00	11,867.78
Q4 2026	3,163.84	3,334.98	8,659.04	796.04	0.00	15,953.90
Q1 2027	4,593.49	4,502.23	10,511.12	896.57	0.00	20,503.40
Q2 2027	5,551.80	5,098.20	11,065.11	885.26	0.00	22,600.37
Q3 2027	5,821.95	4,901.96	10,288.85	766.20	105.29	21,884.25
Q4 2027	6,345.96	4,834.20	10,030.57	707.24	222.16	22,140.13
Q1 2028	6,861.26	4,776.19	9,817.54	661.59	346.62	22,463.20
Q2 2028	7,284.66	4,690.33	9,646.42	610.31	471.72	22,703.45
Q3 2028	8,729.80	5,164.01	10,514.04	626.01	657.34	25,691.20
Q4 2028	9,162.55	5,085.39	10,348.19	580.36	812.63	25,989.11
Q1 2029	9,621.31	5,039.63	10,228.64	544.41	945.89	26,379.89
Q2 2029	10,006.48	4,966.86	10,136.32	512.03	1,057.87	26,679.56
Q3 2029	11,625.16	5,512.90	11,239.42	526.84	1,277.76	30,182.08
Q4 2029	12,012.75	5,469.80	11,134.02	494.51	1,440.31	30,551.40
Q1 2030	12,444.47	5,457.86	11,115.02	461.30	1,552.41	31,031.06
Q2 2030	12,798.41	5,431.60	11,081.12	436.72	1,643.10	31,390.96
Q3 2030	14,763.52	6,030.12	12,367.19	457.40	1,897.38	35,515.60
Q4 2030	15,120.46	6,003.43	12,397.82	432.89	2,039.57	35,994.16

Product gross margins

Quarter	Datacenter NBM proxy	Datacenter floating proxy	Edge mixed-contract	Consumer	HBF
Q3 2026	84.8%	85.9%	86.5%	85.5%	85.0%
Q4 2026	87.2%	88.7%	89.0%	88.1%	85.0%
Q1 2027	88.7%	90.3%	90.3%	89.5%	85.0%
Q2 2027	88.5%	89.8%	89.4%	88.7%	85.0%
Q3 2027	87.5%	86.8%	86.9%	86.3%	85.0%
Q4 2027	87.1%	86.0%	86.4%	85.8%	84.2%
Q1 2028	86.8%	85.5%	86.1%	85.5%	84.1%
Q2 2028	86.7%	85.2%	86.0%	85.4%	84.0%
Q3 2028	86.6%	84.9%	85.9%	85.3%	84.0%
Q4 2028	86.5%	84.7%	85.8%	85.2%	85.0%
Q1 2029	86.5%	84.6%	85.7%	85.2%	85.0%
Q2 2029	86.4%	84.6%	85.7%	85.2%	85.0%
Q3 2029	86.4%	84.5%	85.7%	85.1%	85.0%
Q4 2029	86.4%	84.4%	85.7%	85.1%	85.0%
Q1 2030	86.4%	84.4%	85.6%	85.0%	85.0%
Q2 2030	86.4%	84.3%	85.6%	85.0%	85.0%
Q3 2030	86.3%	84.3%	85.6%	85.0%	85.0%
Q4 2030	86.3%	84.3%	85.5%	85.0%	85.0%

Quarterly operating model

Quarter	Status	Revenue	Gross profit	Gross margin	Opex	Operating profit	OP margin
Q3 2026	Model	11,867.78	10,212.15	86.0%	595.76	9,616.39	81.0%
Q4 2026	Model	15,953.90	14,126.31	88.5%	797.69	13,328.61	83.5%
Q1 2027	Model	20,503.40	18,434.78	89.9%	1,023.12	17,411.66	84.9%
Q2 2027	Model	22,600.37	20,172.76	89.3%	1,125.50	19,047.26	84.3%
Q3 2027	Model	21,884.25	19,042.69	87.0%	1,095.97	17,946.72	82.0%
Q4 2027	Model	22,140.13	19,143.58	86.5%	1,108.37	18,035.21	81.5%
Q1 2028	Model	22,463.20	19,347.94	86.1%	1,124.78	18,223.16	81.1%
Q2 2028	Model	22,703.45	19,517.83	86.0%	1,136.72	18,381.11	81.0%
Q3 2028	Model	25,691.20	22,054.63	85.8%	1,284.56	20,770.07	80.8%
Q4 2028	Model	25,989.11	22,298.12	85.8%	1,298.58	20,999.54	80.8%
Q1 2029	Model	26,379.89	22,624.94	85.8%	1,315.36	21,309.58	80.8%
Q2 2029	Model	26,679.56	22,874.55	85.7%	1,329.95	21,544.60	80.8%
Q3 2029	Model	30,182.08	25,868.28	85.7%	1,503.26	24,365.03	80.7%
Q4 2029	Model	30,551.40	26,175.13	85.7%	1,520.03	24,655.10	80.7%
Q1 2030	Model	31,031.06	26,580.54	85.7%	1,540.45	25,040.09	80.7%
Q2 2030	Model	31,390.96	26,887.15	85.7%	1,558.05	25,329.09	80.7%
Q3 2030	Model	35,515.60	30,413.41	85.6%	1,761.86	28,651.55	80.7%
Q4 2030	Model	35,994.16	30,812.08	85.6%	1,782.78	29,029.31	80.7%

Forecast confidence: LOW for company-specific pricing realization, product margins and the long-range operating path. The industry pricing input is Tier 1. Reporting anchors and company guidance retain their distinct source status.

Annual model cross-check

Calendar year	Revenue	Operating profit	OP margin
2027	87,128.15	72,440.85	83.1%
2028	96,846.96	78,373.87	80.9%
2029	113,792.92	91,874.30	80.7%
2030	133,931.78	108,050.04	80.7%

5. Forward four-quarter operating ceiling

Each row uses that quarter plus the next three quarters of operating profit × the sanctioned multiple ÷ that quarter's diluted shares. The HBF probability is already embedded in quarterly operating profit and is not multiplied into the ceiling again. The final three operating quarters have no ceiling because a complete four-quarter window is unavailable.

Quarter	Exact earnings window	Forward four-quarter OP	Multiple	Diluted shares M	Ceiling per share
Q3 2026	Q3 2026 to Q2 2027	59,403.92	9.00	155.00	3,449.26
Q4 2026	Q4 2026 to Q3 2027	67,734.25	9.00	151.00	4,037.14
Q1 2027	Q1 2027 to Q4 2027	72,440.85	9.00	147.00	4,435.15
Q2 2027	Q2 2027 to Q1 2028	73,252.35	9.00	143.00	4,610.29
Q3 2027	Q3 2027 to Q2 2028	72,586.20	9.00	139.00	4,699.83
Q4 2027	Q4 2027 to Q3 2028	75,409.55	9.00	136.00	4,990.34
Q1 2028	Q1 2028 to Q4 2028	78,373.87	9.00	133.00	5,303.50
Q2 2028	Q2 2028 to Q1 2029	81,460.30	9.00	130.00	5,639.56
Q3 2028	Q3 2028 to Q2 2029	84,623.78	9.00	127.00	5,996.96
Q4 2028	Q4 2028 to Q3 2029	88,218.74	9.00	125.00	6,351.75
Q1 2029	Q1 2029 to Q4 2029	91,874.30	9.00	123.00	6,722.51
Q2 2029	Q2 2029 to Q1 2030	95,604.81	9.00	121.00	7,111.10
Q3 2029	Q3 2029 to Q2 2030	99,389.31	9.00	119.00	7,516.84

Quarter	Exact earnings window	Forward four-quarter OP	Multiple	Diluted shares M	Ceiling per share
Q4 2029	Q4 2029 to Q3 2030	103,675.83	9.00	117.00	7,975.06
Q1 2030	Q1 2030 to Q4 2030	108,050.04	9.00	115.00	8,456.09

Mechanical share sensitivity

Holding the active Q4 2027 operating case fixed:

Share denominator	Ceiling per share USD
Current model	4,990.34
5% more shares	4,752.70
10% more shares	4,536.67

This is a denominator sensitivity, not a forecast of additional issuance.

6. Industry relationships and read-throughs

TAM expansion and cross-book learning

Today NAND serves enterprise persistence, cache and consumer storage. Longer context and agentic workloads extend inference storage; HBF may enable a further bandwidth/capacity tier. Device AI and robotics could broaden demand, but their storage content and timing need separate sizing.

Kioxia is the closest production cross-watch; Samsung, SK hynix and Micron share pricing and supply telemetry. ALAB/MRVL sit in the memory-interconnect layer. Capacity-only agreements, price collars and non-cancellable product schedules are different commercial structures. The SanDisk disclosure establishes its own terms and must not be copied across the oligopoly without company evidence.

Kioxia disclosures can corroborate shared manufacturing capacity, but not SanDisk customer pricing. ALAB/CXL and MRVL interconnect developments help test the memory-tier architecture. For Longsys and Penguin, higher memory prices are input costs as well as potential inventory gains; their margins cannot be copied from a NAND producer.

7. Risks and falsification tests

The following ledger makes the existing aggregate risk deduction explicit. It does not introduce another deduction or change the analytical score.

Risk class	Existing deduction
Industry supply, bit growth and pricing response	-1

Risk class	Existing deduction
Technology, joint-venture and HBF execution	-1
Contract concentration, enforcement and commercial terms	-1
Total	**-3**

Risks and falsification tests

1. Supply/pricing: compare competitive wafer/node additions with customer bit demand. Sustained pricing declines or loss of allocation change the ASP path directly.
2. Technology/JV execution: monitor BiCS qualification and HBF production disclosure. The active HBF state already weights a one-quarter delay and first-four-quarter cost penalty. Evidence of a longer delay, failed qualification or a revised customer mix would change that same state, not create another overlapping haircut.
3. Customer contracts: monitor default, renegotiation and guarantee enforcement. Floor revenue is not equivalent to risk-free cash collection.

Next-quarter results must reconcile actual revenue, GM, opex and diluted shares with the active pricing case. September 8-9 conference commentary was not incorporated in the retained company-research baseline. Capital-return assumptions remain conditional. Contract repricing and the persistence of the higher Q1 2027 price level are additional forecast tests within the existing risk classes.

Numbered monitoring tests

#	Checkpoint	Evidence supporting the operating case	Counter-test / failure signal
1	Bits versus ASP	Reconcile reported growth separately to bits, mix and realized pricing.	Price-led revenue growth does not validate the assumed physical volume ramp.
2	Contract coverage	Track new customer agreements, guarantees and disclosed coverage by business.	Renegotiation, impairment or narrow product coverage weakens the stability thesis.
3	HBF commercialization	Require dated qualification and commercial shipments.	A development milestone without accepted sales does not validate forecast revenue.
4	Profit and capital return	Reconcile GM, opex and diluted shares against the operating and share paths.	Margin slippage or slower repurchases changes the relevant inputs; authorization alone does not retire shares.

8. Sources, evidence gaps and model snapshot

- **TF-1** · Supplied September 20, 2026 · TrendForce NAND pricing update supplied in this conversation: Q3 2026 +18-23%; Q4 +15-20%. The owner selected +23% and +20% and ranked TrendForce Tier 1 alongside Serenity. The underlying updated table was not independently retrieved. This is not a source for company-specific contract realization or post-2026 forecasts.

Sources below are those documented in the retained company research and this pricing update. LOW-confidence product allocations, future margins, capacity bridges and incomplete management-call records remain unresolved where stated. Integrating the original research does not itself establish complete verification of the inherited operating assumptions.

- **SNDK-1** · 2026-08-05 · Fiscal Q4 2026 company results. Actuals, next-quarter guidance and remaining buyback authorization.
- **SNDK-2** · 2026-08-05 call; transcript Aug 12 · Fiscal Q4 management transcript. Management speech only; contracts span Datacenter and Edge.
- **SNDK-3** · 2026-08-13 · Investor Day company release. FY2028-30 growth/margin framework and capital returns.
- **SNDK-4** · 2026-08-13 · Investor Day CFO presentation. Contract mechanics and sustainable financial model; company document accessed via event page.
- **SNDK-5** · 2026-09-01 · Uploaded artifact and five-vector workbook - User upload: PORTFOLIO_HANDOFF_2026-09-01(1).zip; v3_2_master_portfolio(1).xlsx. Inherited bit/ASP/margin mix and HBF assumptions. August 19 IR relay is inherited, not independently verified.

The unchanged original source document is retained separately for full research provenance. It is an archive, not an additional active valuation case. Superseded score/ceiling tables are not incorporated into this active artifact.

- **JF-1** - Supplied September 21, 2026: Jeff Pu (@sssjeffpu) and Jukan (@jukan05), "NAND Pricing Breakout Driven by eSSD" summary in the owner's conversation. Quoted Q3 2026 / Q4 2026 / Q1 2027 blended NAND changes: +21% / +17% / +15%, citing TrendForce demand research. Only the Q1 +15% is newly adopted; the owner retains +23% and +20% for 2026. This is an owner-authorized combined case. The original analyst note and exact TrendForce table were not independently retrieved. Enterprise demand commentary is contextual and adds no shipment volume to this update.

Model snapshot: 6 October 2026, Framework 8.0. Eighteen operating quarters and fifteen complete valuation windows. Q4 2027 ceiling is USD 4,990.337716; Q1 2028 is USD 5,303.495284. The joint HBF state changes shipment timing and initial product cost only. Existing NAND ASPs, other physical volumes/costs, 9x OP, shares, saved prices, analytical Base 87 and Excel Base 95 remain unchanged. Before copies are retained separately.